

RBI treads Trump's tariff pe tariff

Donald Trump's **executive orders** imposing tariffs on imports from Canada, Mexico and China **have** begun to **roil** the commodity and currency markets. Energy prices and the dollar are rising, while automobile stocks are on the **retreat** globally. The near-term impact may not be **decisive** for RBI as it **heads** into a review of interest rates later this week. The budget has created **room** for monetary **easing**, and the financial markets have **priced in** an interest rate cut. Subsequent rate adjustments will, however, be more **susceptible** to the progress of trade wars and the response of the US Federal Reserve to it.

Inflation and growth **outlook** for RBI's monetary policy committee **has deteriorated** since Trump **assumed** office. India's **vulnerability** to energy prices could **stretch out** its **last-mile disinflation**. A **slowdown** in international trade **will weigh on** India's export growth. Inflation is the **proximate** risk. But since it **calls for** a supply-side response, RBI may **commence** on its **shallow** interest rate **downcycle**. The comfort of discounted Russian oil may be **fleeting** as Western **sanctions tighten** over its shipment. Trump is unlikely to convince **Opec+** to **tide over** the disruption in the energy markets by **altering** its course significantly on production cuts. The rupee faces pressure **on account of** energy **instability** as well the dollar's rise, an indicator of the resolve of the trade warriors. **Heightened volatility** in emerging markets **feeds** into forex reserve management. Delayed rate **cuts** by the Fed as **countermeasure** to inflationary tariffs **throttles** capital flows to emerging markets.



The budget has tried to **insulate** the Indian economy by **propping up** domestic consumption. The tax **giveaways** will take time to work their way through the system. **Effects** on imports, and exports, **are** likely to show up sooner than a **revival** in household spending. The intended wealth effect could be **offset** by **equity bears**. And this situation will change dramatically if India comes in for generalised US tariff action.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

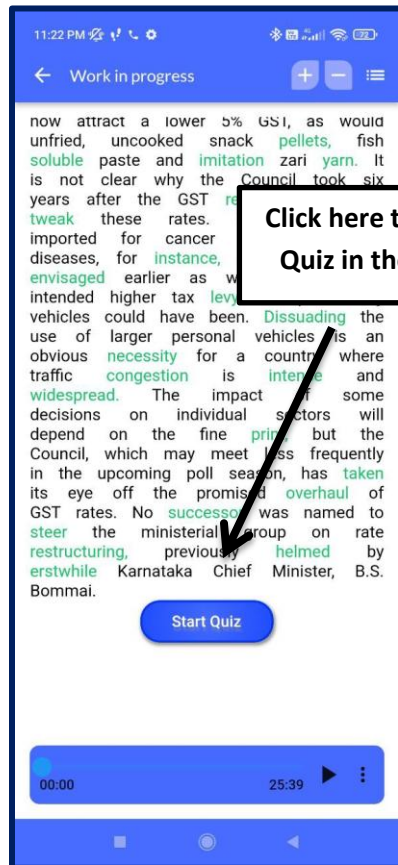
1. **Tread** (verb) – Walk carefully, step cautiously, proceed, move forward, navigate
सावधानी से आगे बढ़ना
2. **Tariff** (noun) – Import duty, tax, levy, customs charge, excise duty शुल्क
3. **Executive order** (noun) – Presidential directive, official mandate, governmental decree, ruling
कार्यकारी आदेश
4. **Impose** (verb) – Enforce, implement, apply, levy, mandate थोपना
5. **Roil** (verb) – Disturb, disrupt, unsettle, shake up, agitate अशांत करना
6. **Retreat** (verb) – Withdraw, pull back, recede, decline, backtrack गिरावट आना
7. **Decisive** (adjective) – Conclusive, determining, critical, final, crucial निर्णायक
8. **Head** (verb) – Move toward, direct, lead, advance, approach की ओर बढ़ना
9. **Room** (noun) – Space, scope, capacity, leeway, margin गुंजाइश
10. **Easing** (noun) – Relaxation, relief, reduction, loosening, moderation कमी
11. **Price in** (phrasal verb) – Factor in, include, take into account, anticipate, calculate गणना करना
12. **Susceptible** (to) (adjective) – Vulnerable, prone, exposed, sensitive, likely to be affected संवेदनशील
13. **Outlook** (noun) – Perspective, view, forecast, prediction, expectation दृष्टिकोण
14. **Deteriorate** (verb) – Worsen, decline, degrade, weaken, fall apart गिरावट आना
15. **Assume** (verb) – Take on, accept, undertake, adopt, shoulder, take responsibility जिम्मेदारी लेना
16. **Vulnerability** (noun) – Weakness, susceptibility, exposure, risk, fragility कमजोरी
17. **Stretch out** (phrasal verb) – Prolong, extend, lengthen, continue, delay लंबा करना
18. **Last-mile** (adjective) – Final stage, end-phase, completion phase, closing part अंतिम चरण
19. **Disinflation** (noun) – Slowed inflation, price stability, reduced price growth, controlled inflation मुद्रास्फीति में कमी
20. **Slowdown** (noun) – Decline, slump, downturn, deceleration, reduction मंदी
21. **Weigh on** (phrasal verb) – Burden, depress, pressure, affect negatively, cause concern दबाव बनाना
22. **Proximate** (adjective) – Immediate, closest, near, direct, adjacent निकटतम

23. **Call for** (phrasal verb) – Demand, require, necessitate, urge, need माँग करना
24. **Commence** (verb) – Start, begin, initiate, launch, undertake शुरू करना
25. **Shallow** (adjective) – Superficial, not deep, slight, minimal, surface-level कम, सतही
26. **Downturn** (noun) – Economic downturn, recession phase, declining trend, financial slowdown आर्थिक मंदी का दौर
27. **Fleeting** (adjective) – Short-lived, temporary, brief, momentary, passing क्षणिक
28. **Sanction** (noun) – Restriction, penalty, embargo, trade barrier, punitive measure प्रतिबंध
29. **Tighten** (verb) – Strengthen, reinforce, secure, make stricter, harden कड़ा कर
30. **Opec+** (noun) – Organization of Petroleum Exporting Countries and its allies, oil cartel तेल निर्यातक देशों का संगठन और उसके सहयोगी
31. **Tide over** (phrasal verb) – Overcome, manage, survive, get through, endure संकट से बाहर निकालना
32. **Alter** (verb) – Change, modify, adjust, transform, revise बदलाव करना
33. **On account of** (phrase) – Due to, because of, owing to, as a result of के कारण
34. **Instability** (noun) – Uncertainty, fluctuation, insecurity, inconsistency, unpredictability अस्थिरता
35. **Heightened** (adjective) – Increased, intensified, amplified, escalated, elevated बढ़ा हुआ
36. **Volatility** (noun) – Instability, unpredictability, fluctuation, inconsistency, irregularity अस्थिरता
37. **Countermeasure** (noun) – Preventive action, defensive strategy, remedial step, corrective action प्रति-उपाय
38. **Throttle** (verb) – Suppress, choke, strangle, restrain, hinder दबाना
39. **Insulate** (verb) – Protect, shield, safeguard, isolate, defend बचाव करना
40. **Prop up** (phrasal verb) – Support, sustain, bolster, uphold, reinforce सहारा देना
41. **Giveaway** (noun) – Concession, free offer, incentive, subsidy, handout रियायत
42. **Revival** (noun) – Recovery, renewal, resurgence, comeback, rejuvenation पुनरुत्थान
43. **Offset** (verb) – Counterbalance, neutralize, compensate for, make up for संतुलित करना
44. **Equity bear** (noun) – Stock market decline, investor pessimism, downward trend in shares शेयर बाजार में गिरावट

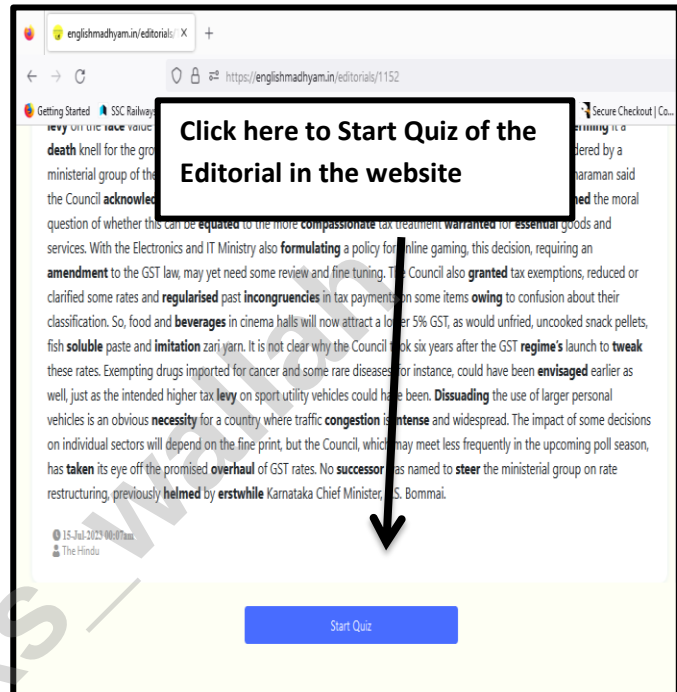
Summary of the Editorial

1. **Trump's Tariff Impact** – Donald Trump's tariffs on imports from Canada, Mexico, and China have disrupted commodity and currency markets.
2. **Market Reactions** – Energy prices and the dollar are rising, while global automobile stocks are declining.
3. **RBI's Near-Term Policy Stability** – Despite tariff-induced volatility, the RBI's immediate interest rate decision may remain unchanged.
4. **Budgetary Room for Rate Cuts** – India's budget has created space for monetary easing, making an interest rate cut likely.
5. **Future Rate Decisions Uncertain** – Future rate adjustments will depend on trade war developments and the US Federal Reserve's response.
6. **Inflation and Growth Concerns** – RBI's monetary policy outlook has worsened since Trump's election due to inflationary pressures and slow growth.
7. **Energy Price Vulnerability** – India's dependence on imported energy could prolong its inflation control efforts.
8. **Trade Slowdown Impact** – A decline in international trade could hinder India's export growth.
9. **Inflation as a Major Risk** – Inflation remains the primary concern, requiring supply-side measures rather than aggressive rate cuts.
10. **Uncertainty in Russian Oil Supply** – Western sanctions could disrupt discounted Russian oil, impacting India's energy security.
11. **OPEC+ Production Limits** – Trump is unlikely to influence OPEC+ to alter production cuts, worsening energy market volatility.
12. **Rupee Under Pressure** – Rising energy prices and a stronger dollar are putting downward pressure on the rupee.
13. **Emerging Market Volatility** – Forex reserve management is challenged by increased market instability.
14. **Fed's Delayed Rate Cuts** – The US Federal Reserve may delay interest rate cuts, restricting capital flows to emerging markets like India.
15. **India's Economic Insulation Strategy** – The budget aims to shield the Indian economy through domestic consumption boosts, but effects may take time to materialize.

Practice Exercise: Banking Pattern Based



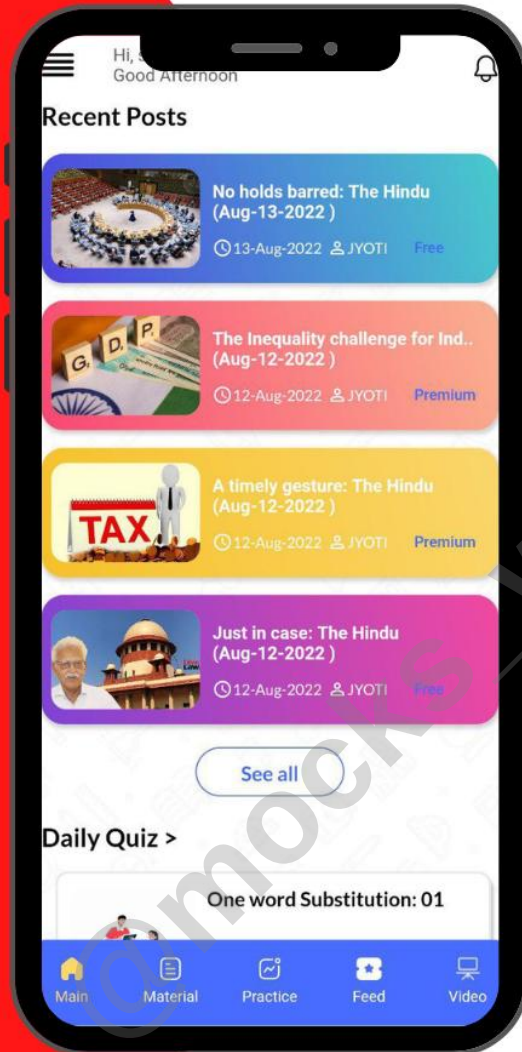
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